Tony Judt – Origins of the European Union
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The idea of European union, in one form or another, was not new. The nineteenth century had seen a variety of more or less unsuccessful customs unions in central and western Europe and even before World War One there had been occasional idealistic talk, drawing on the idea that Europe's future lay in a coming together of its disparate parts. World War One itself, far from dissipating such optimistic visions, seems to have given them greater force: as Aristide Briand—the French statesman and himself an enthusiastic author of European pacts and proposals—insisted, the time had come to overcome past rivalries and think European, speak European, feel European. In 1924 the French economist Charles Gide joined other signatories across Europe in launching an International Committee for a European Customs Union. Three years later a junior minister in the British Foreign Office would profess himself 'astonished' at the extent of continental interest in the 'pan-European' idea.

More prosaically, the Great War had brought French and Germans, in a curious way, to a better appreciation of their mutual dependence. Once the post-war disruption had subsided and Paris had abandoned its fruitless efforts to extract German reparations by force, an international Steel Pact was signed, in September 1926, by France, Germany, Luxembourg, Belgium and the (then autonomous) region of the Saar, to regulate steel production and prevent excess capacity. Although the Pact was joined the following year by Czechoslovakia, Austria and Hungary, it was only ever a cartel of the traditional kind; but the German Prime Minister Gustav Stresemann certainly saw in it the embryonic shape of future trans-national accords. He was not alone.

Like other ambitious projects of the 1920s, the Steel Pact barely survived the 1929 crisis and ensuing depression. But it recognized what was already clear to French ironmasters in 1919: that France's steel industry, once it had doubled in size as a result of the return of Alsace-Lorraine, would be utterly dependent on coke and coal from Germany and would therefore need to find a basis for long-term collaboration. The situation was equally obvious to Germans, and when the Nazis occupied France in 1940 and reached agreement with Petain on a system of payments and deliveries amounting to the forced application of French resources to the German war effort, there were nevertheless many on both sides who saw in this latest Franco-German 'collaboration' the germ of a new 'European' economic order.

Thus Pierre Pucheu, a senior Vichy administrator later to be executed by the Free French, envisaged a post-war European order where customs barriers would be eliminated and a single European economy would encompass the whole continent, with a single currency. Pucheu's vision—which was shared by Albert Speer and many others—represented a sort of updating of Napoleon's Continental System under Hitlerian auspices, and it appealed to a younger generation of continental bureaucrats and technicians who had experienced the frustrations of economic policy making in the 1930s.

What made such projects especially seductive was that they were typically presented in terms of a shared, pan-European interest, rather than as self-interested projections of separate national agendas. They were 'European' rather than German or French, and they were much admired during the war by those who wanted desperately to believe that some good might come out of the Nazi occupation. The fact that the Nazis themselves had apparently unified much of Europe in a technical sense—removing frontiers, expropriating property, integrating transportation networks and so forth—made the idea even more plausible. And the attraction of a Europe liberated from its past and its mutual antagonisms was not lost abroad, either. Four years after Nazism's defeat, in October 1949, George Kennan would confess to Dean Acheson that while he could understand apprehension at Germany's growing importance in Western European affairs, 'it often seemed to me, during the war living over there, that what was wrong with Hitler's new order was that it was Hitler's.'

Kennan's remark was made in private. In public, after 1945, few were willing to say a good word about the wartime New Order—whose inefficiency and bad faith Kennan rather underestimated. The case for intra-European economic cooperation was of course undiminished—Jean Monnet, for example, continued to believe after the war as he had in 1943 that to enjoy 'prosperity and social progress ... the states of Europe must form ... a 'European entity', which will make them a single unit'. And there were enthusiasts for the 'Movement for European Unity' formed in January 1947 at Churchill's instigation.

Winston Churchill had been an early and influential advocate of a European assembly of some kind. On October 21st 1942 he wrote to Anthony Eden: 'I must admit that my thoughts rest primarily in Europe, in the revival of the glory of Europe ... it would be a measureless disaster if Russian bolshevism overlaid the culture and independence of the ancient states of Europe. Hard as it is to say now, I trust that the European family may act unitedly as one, under a

Council of Europe.' But the post-war political circumstances seemed unpropitious for such ideals. The best that might be expected was the creation of a sort of forum for European conversation, which is what a May 1948 Congress of the European Unity Movement in The Hague proposed. The 'Council of Europe' which grew out of this suggestion was inaugurated in Strasbourg in May 1949 and held its first meeting there in August of that year; delegates from Britain, Ireland, France, the Benelux countries, Italy, Sweden, Denmark and Norway took part.

The Council had no power and no authority; no legal, legislative or executive status. Its 'delegates' represented no-one. Its most important asset was the mere fact of its existence, though in November 1950 it issued a 'European Convention on Human Rights' that would assume greater significance in decades to come. As Churchill himself had recognized, in a speech given in Zurich on September 19th 1946, 'The first step in the re-creation of the European family must be a partnership between France and Germany.' But in those first post-war years the French, as we have seen, were in no mood to envisage such a partnership.

Their small neighbours to the north were moving rather faster, however. Even before the war ended the exiled governments of Belgium, Luxembourg and the Netherlands signed the 'Benelux Agreement', eliminating tariff barriers and looking forward to the eventual free movement of labour, capital and services between their countries. The Benelux Customs Union came into effect on January 1st 1948, and there followed desultory conversations between the Benelux countries, France and Italy over projects to extend such cooperation across a larger space. But these half-formed projects for a 'Little Europe' all came to grief on the shoals of the German problem.

Everyone agreed, as the Marshall Plan negotiators in Paris in July 1947 concluded, that the 'German economy should be integrated into the economy of Europe in such a way as to contribute to a raising of the general standard of life.' The question was how? Western Germany, even after it became a state in 1949, had no organic links to the rest of the continent except via the mechanisms of the Marshall Plan and the Allied occupation—both of them temporary. Most Western Europeans still thought of Germany as a threat, not a partner. The Dutch had always been economically dependent on Germany—48 percent of Dutch 'invisible' earnings before 1939 came from German trade passing through the harbours and waterways of the Netherlands—and Germany's economic revival was vital for them. But in 1947 only 29 percent of the Dutch population had a 'friendly' view of Germans and for the Netherlands it was important that an economically revived Germany be politically and militarily weak. This view was heartily endorsed in Belgium. Neither country could envisage an accommodation with Germany unless it was balanced by the reassuring involvement of Great Britain.

The deadlock was broken by the international events of 1948-49. With the Prague coup, the agreement on a West German state, the Berlin blockade and the plans for NATO it became clear to French statesmen like Georges Bidault and Robert Schuman that France must re-think its approach to Germany. There was now to be a West German political entity including the Ruhr and the Rhineland— only the tiny Saarland had been temporarily separated from the main body of Germany, and the coal of the Saar region was not suitable for coking. How were the resources of this new Federal Republic to be both contained and yet mobilized to French advantage?

On October 30th 1949, Dean Acheson appealed to Schuman for France to take the initiative in incorporating the new West German state into European affairs. The French were well aware of the need to do something—as Jean Monnet would later remind Georges Bidault, the US would surely encourage a newly-independent West Germany to increase its steel production, at which point it might well flood the market, force France to protect its own steel industry and thus trigger a retreat to trade wars.

It was in these circumstances that Jean Monnet proposed to France's Foreign Minister what became known to history as the 'Schuman Plan'. This constituted a genuine diplomatic revolution, albeit one that had been five years in the making. In essence it was very simple. In Schuman's words, 'The French government proposes that the entire French-German coal and steel production be placed under a joint High Authority within the framework of an organization which would also be open to the participation of the other countries of Europe.' More than a coal and steel cartel, but far, far less than a blueprint for European integration, Schuman's proposal represented a practical solution to the problem that had vexed France since 1945. In Schuman's scheme the High Authority would have the power to encourage competition, set pricing policy, direct investment and buy and sell on behalf of participating countries. But above all it would take control of the Ruhr and other vital German resources out of purely German hands. It represented a European solution to a—the—French problem.

Robert Schuman announced his Plan on May 9th 1950, informing Dean Acheson the day before. The British received no advance notice. The Quai d'Orsay took a certain sweet pleasure in this: the first of many small

retaliations for Anglo-American decisions taken without consulting Paris. The most recent of these had been Britain's unilateral devaluation of the pound sterling by 30 percent just eight months before, when only the Americans had been pre-advised and the rest of Europe had been obliged to follow suit. Ironically, it was this reminder of the risks of renewed economic self-interest and non-communication among European states that had prompted Monnet and others to think their way forward to the solution they were now proposing

The German government immediately welcomed Schuman's proposal, as well they might: in Konrad Adenauer's delighted reply to Schuman he declared that 'this plan of the French government has given the relations between our two countries, which threatened to be paralysed by mistrust and reserve, a fresh impetus towards constructive cooperation.' Or, as he put it more bluntly to his aides: 'Das ist unser Durchbruch'—this is our breakthrough. For the first time the Federal Republic of Germany was entering an international organization on equal terms with other independent states—and would now be bound to the Western alliance, as Adenauer wished.

The Germans were the first to ratify the Schuman Plan. Italy and the Benelux countries followed suit, though the Dutch were at first reluctant to commit themselves without the British. But the British declined Schuman's invitation and without Britain there was no question of the Scandinavians signing on. So it was just six West European states that signed the April 1951 Paris Treaty founding the European Coal and Steel Community (ECSC).

It is perhaps worth pausing to remark on a feature of the Community which did not escape notice at the time. All six foreign ministers who signed the Treaty in 1951 were members of their respective Christian Democratic parties. The three dominant statesmen in the main member states—Alcide De Gasperi, Konrad Adenauer and Robert Schuman—were all from the margins of their countries: De Gasperi from the Trentino, in north-east Italy; Adenauer from the Rhineland; Schuman from Lorraine. When De Gasperi was born—and well into his adult life—the Trentino was part of the Austro-Hungarian Empire and he studied in Vienna. Schuman grew up in a Lorraine that had been incorporated into the German Empire. As a young man, like Adenauer, he joined Catholic associations—indeed the same ones that the Rhinelander had belonged to ten years earlier. When they met, the three men conversed in German, their common language.

For all three, as for their Christian Democrat colleagues from bi-lingual Luxembourg, bi-lingual and bi-cultural Belgium, and the Netherlands, a project for European cooperation made cultural as well as economic sense: they could reasonably see it as a contribution to overcoming the crisis of civilization that had shattered the cosmopolitan Europe of their youth. Hailing from the fringes of their own countries, where identities had long been multiple and boundaries fungible, Schuman and his colleagues were not especially troubled at the prospect of some merging of national sovereignty. All six member countries of the new ECSC had only recently seen their sovereignty ignored and trampled on, in war and occupation: they had little enough sovereignty left to lose. And their common Christian Democratic concern for social cohesion and collective responsibility disposed all of them to feel comfortable with the notion of a trans-national 'High Authority' exercising executive power for the common good.

But further north, the prospect was rather different. In the Protestant lands of Scandinavia and Britain (or to the Protestant perspective of a North German like Schumacher), the European Coal and Steel Community carried a certain whiff of authoritarian incense. Tage Erlander, the Swedish Social Democratic Prime Minister from 1948-68, actually ascribed his own ambivalence about joining to the overwhelming Catholic majority in the new Community. Kenneth Younger, a senior adviser to Bevin, noted in his diary entry for May 14th 1950—five days after learning of the Schuman Plan—that while he generally favoured European economic integration the new proposals might 'on the other hand,... be just a step in the consolidation of the Catholic 'black international' which I have always thought to be a big driving force behind the Council of Europe.' At the time this was not an extreme point of view, nor was it uncommon.

The ECSC was not a 'black international'. It was not really even a particularly effective economic lever, since the High Authority never did exercise the kind of power Monnet intended. Instead, like so many of the other international institutional innovations of these years, it provided the psychological space for Europe to move forward with a renewed self-confidence. As Adenauer explained to Macmillan ten years later, the ECSC was not really even an economic organization at all (and Britain, in his view, had thus been right to stand aside from it). It was not a project for European integration, Monnet's flights of fantasy notwithstanding, but rather the lowest common denominator of West European mutual interest at the time of its signing. It was a political vehicle in economic disguise, a device for overcoming Franco-German hostility.

Meanwhile, the problems that the European Coal and Steel Community was designed to address began to resolve themselves. In the last quarter of 1949 the Federal Republic of Germany regained the industrial output levels of 1936; by the end of 1950 it had surpassed them by one-third. In 1949 West Germany's trade balance with Europe was based on the export of raw materials (essentially coal). A year later, in 1950, that trade balance was negative, as Germany was consuming its own raw materials to fuel local industry. By 1951 the balance was once again positive and would stay so for many years to come, thanks to the German export of manufactured goods. By the end of 1951 German exports had grown to over six times the level of 1948 and German coal, finished goods and trade were fuelling a European economic renaissance—indeed by the late Fifties western Europe was suffering the effects of a glut of coal. How much of this can be attributed to the ECSC is a matter of some doubt—it was Korea, not Schuman, that sent the West German industrial machine into high gear. But in the end it did not much matter.

If the European Coal and Steel Community was so much less than was claimed for it—if the French commitment to supranational organisms was simply a device to control a Germany that they continued to distrust, and if the European economic boom owed little to the actions of a High Authority whose impact on competition, employment and prices was minimal—why, then, did the British refuse to join it? And why did it seem to matter so much that they stood apart?

The British had nothing against a European customs union—they were quite in favour of one, at least for other Europeans. What made them uncomfortable was the idea of a supernational executive implied in the institution of a High Authority, even if it only directed the production and pricing of two commodities. London had been clear about this for some time—in 1948, when Bevin discussed with the Labour Cabinet American proposals for a future Organisation for European Economic Cooperation, his main concern was that 'effective control should be in the hands of the national delegations ... to prevent the secretariat (or an 'independent' chairman) from taking action on its own ... There should be no question of instructions being given by the organization to individual members.'

This British reluctance to relinquish any national control was obviously incompatible with Monnet's purpose in the ECSC. But the British saw the ECSC as the thin edge of a continental wedge in British affairs, whose implications were the more dangerous for being unclear. As Bevin explained to Acheson when justifying Britain's refusal to join, 'Where matters of such vital importance are at stake we cannot buy a pig in a poke, and [I am] pretty sure that if the Americans had been placed in a similar position they would have thought the same.' Or, as he put it more colourfully to his aides when expressing his misgivings over the Council of Europe: 'If you open that Pandora's Box, you never know what Trojan 'orses will jump out'. Some of the British reasoning was economic. The British economy—particularly that part of it which relied on trade—appeared in far healthier condition than that of its continental neighbours. In 1947 British exports represented, by value, the sum of the exports of France, Italy, western Germany, the Benelux countries, Norway and Denmark combined. Whereas western European states at that time traded chiefly with one another, Britain had extensive commerce with the whole world— indeed, Britain's trade with Europe in 1950 was much less than it had been in 1913. In the eyes of British officials, therefore, the country had more to lose than to gain by committing itself to participation in binding economic arrangements with countries whose prospects looked very uncertain. A year before Schuman's proposal, the UK position, expressed in private by senior civil servants, was that 'there is no attraction for us in long-term economic cooperation with Europe. At best it will be a drain on our resources. At worst it can seriously damage our economy.' To which should be added the Labour Party's particular anxiety at joining continental arrangements of a kind that might limit its freedom to pursue 'socialist' policies at home, policies closely tied to the corporate interests of the old industrial unions who had founded the Labour Party fifty years earlier: as acting Prime Minister Herbert Morrison explained to the Cabinet in 1950, when Schuman's invitation was (briefly) considered: 'It's no good, we can't do it, the Durham Miners won't wear it.'

And then there was the Commonwealth. In 1950 the British Commonwealth covered large tracts of Africa, South Asia, Australasia and the Americas, much of it still in British hands. Colonial territories from Malaya to the Gold Coast (Ghana) were net dollar earners and kept significant sums in London—the notorious 'sterling balances'. The Commonwealth was a major source of raw materials and food, and the Commonwealth (or Empire as most people still referred to it) was integral to British national identity, or so it seemed at the time. To most policymakers it was obviously imprudent—as well as practically impossible—to make Britain part of any continental European system that would cut the country off from this other dimension of its very existence.

Britain, then, was part of Europe but also part of a world-wide Anglophone imperial community. And it had a very particular relationship with the United States. The British people tended to be ambivalent about America—perceiving it from afar as a 'paradise of consumer splendours' (Malcolm Bradbury) in contrast to their own constricted lives, but resenting it for just that reason. Their governments, however, continued to profess faith in what

would later be called the 'special relationship' between the two countries. In some degree this derived from Britain's presence at the wartime 'top table', as one of the three Great Powers at Yalta and Potsdam, and as the third nuclear Power following the successful test of a British bomb in 1952. It drew, too, on the close collaboration between the two countries during the war itself. And it rested, a little, on the peculiarly English sense of superiority towards the country that had displaced them at the imperial apex."

The Americans were frustrated by the UK's reluctance to merge its fate with Europe and irritated by Britain's insistence upon preserving its imperial standing. However, there was more to London's stance in 1950 than imperial self-delusion or bloody-mindedness. Britain, as Jean Monnet would later acknowledge in his memoirs, had not been invaded or occupied: 'she felt no need to exorcise history.' The British experienced World War Two as a moment of national reconciliation and rallying together, rather than as a corrosive rent in the fabric of the state and nation,

A point of view nicely captured in lines anonymously penned during the negotiations on Britain's postwar loan:

'In Washington Lord Halifax
Once whispered to Lord Keynes:
"It's true they have the moneybags
But we have all the brains."'

which was how it was remembered across the Channel. In France the war had revealed everything that was wrong with the nation's political culture; in Britain, it had seemed to confirm everything that was right and good about national institutions and habits. World War Two, for most Britons, had been fought between Germany and Great Britain and the British had emerged triumphant and vindicated. This sense of quiet pride at the country's capacity to suffer, endure and win through had marked Britain off from the continent. It also shaped the political culture of the post-war years. In the elections of 1945 Labour won a clear parliamentary majority for the first time in its history and, as we have seen, pressed through a broad range of nationalizations and social reforms culminating in the constitution of the world's first universal welfare state. The government's reforms were mostly popular—in spite of prompting remarkably little change in the deepest habits and affinities of the nation. In the words of J.B. Priestley, writing in the New Statesman in July 1949, 'We are a Socialist Monarchy that is really the last monument of Liberalism.'

The 1950s

The 'European project', in so far as it ever existed outside the heads of a few idealists, had stalled by the mid-nineteen-fifties. The French National Assembly had vetoed the proposed European army, and with it any talk of enhanced European coordination. Various regional accords on the Benelux model had been reached— notably the Scandinavian 'Common Nordic Labour Market' in 1954—but nothing more ambitious was on the agenda. Advocates of European cooperation could point only to the new European Atomic Energy Community, announced in the spring of 1955; but this—like the Coal and Steel Community—was a French initiative and its success lay, symptomatically, in its narrow and largely technical mandate. If the British were still as sceptical as ever about the prospects for European unity, theirs was not an altogether unreasonable view.

The push for a fresh start came, appropriately enough, from the Benelux countries, who had the most experience of cross-border union and the least to lose from diluted national identities. It was now clear to leading European statesmen— notably Paul-Henri Spaak, foreign minister of Belgium—that political or military integration was not feasible, at least for the present. In any event, by the mid-fifties European concerns had shifted markedly away from the military preoccupations of the previous decade. The emphasis, it seemed clear, should be placed on European economic integration, an arena in which national self-interest and cooperation could be pursued in concert without offending traditional sensibilities. Spaak, together with his Dutch counterpart, convened a meeting at Messina, in June 1955, to consider this strategy.
The participants at the Messina conference were the ECSC six, together with a (low-ranking) British 'observer'. Spaak and his collaborators put forward a range of suggestions for customs union, trading agreements and other quite conventional projects of trans-national coordination, all of them carefully packaged to avoid offending the sensibilities of Britain or France. The French were cautiously enthusiastic; the British decidedly doubtful. After Messina the negotiations continued in an international planning committee chaired by Spaak himself, with the task of making firm recommendations for a more integrated European economy, a 'common market'. But by November 1955 the British had dropped out, alarmed at the prospect of just the sort of pre-federal Europe they had always suspected.

The French, however, decided to take the plunge. When the Spaak Committee reported back in March 1956 with a formal recommendation in favour of a Common Market, Paris concurred. British observers remained doubtful. They were certainly aware of the risks of being left out—as a British government committee confidentially observed just a few weeks before Spaak's recommendations were made public, 'should the Messina powers achieve economic integration without the United Kingdom, this would mean German hegemony in Europe'. But in spite of this, the urgings of the Anglophile Spaak, and the fragility of the international sterling area as revealed a few months later at Suez, London could not bring itself to throw in its lot with the 'Europeans'. When the Treaty establishing a European Economic Community (and Euratom, the atomic energy authority) was signed at Rome on March 25th 1957, and became effective on January 1st 1958, the new EEC— its headquarters in Brussels—comprised the same six countries that had joined the Coal and Steel Community seven years before.

It is important not to overstate the importance of the Rome Treaty. It represented for the most part a declaration of future good intentions. Its signatories laid out a schedule for tariff reductions and harmonization, offered up the prospect of eventual currency alignments, and agreed to work towards the free movement of goods, currencies and labor. Most of the text constituted a framework for instituting procedures designed to establish and enforce future regulations. The only truly significant innovation—the setting up under Article 177 of a European Court of Justice to which national courts would submit cases for final adjudication—would prove immensely important in later decades but passed largely unnoticed at the time.

The EEC was grounded in weakness, not strength. As Spaak's 1956 report emphasized, 'Europe, which once had the monopoly of manufacturing industries and obtained important resources from its overseas possessions, today sees its external position weakened, its influence declining and its capacity to progress lost in its divisions.' It was precisely because the British did not—yet—understand their situation in this light that they declined to join the EEC. The idea that the European Common Market was part of some calculated strategy to challenge the growing power of the United States—a notion that would acquire a certain currency in Washington policy circles in later decades—is thus quite absurd: the new-formed EEC depended utterly upon the American security guarantee, without which its members would never have been able to afford to indulge in economic integration to the exclusion of all concern with common defence.

Not everyone even in the member states was entirely pleased with the new proposals. In France many conservative (including Gaullist) deputies voted against ratification of the Rome Treaty on 'national' grounds', while some socialists and left radicals (including Pierre Mendes-France) opposed the formation of a 'little Europe' without the reassuring presence of Great Britain. In Germany, Adenauer's own Economics Minister, the enthusiastic free-trader Ludwig Erhard, remained critical of a neo-mercantilist 'customs union' that might damage Germany's links with Britain, restrict trade flows and distort prices. In Erhard's view, the EEC was a 'macro-economic nonsense'. As one scholar has perceptively observed, things could well have turned out differently: 'If Erhard had ruled Germany, the likely result would have been an Anglo-German Free Trade Association with no agricultural component, and the effects of economic exclusion would eventually have forced France to join'.

But it didn't happen that way. And the final shape of the EEC did have a certain logic to it. In the course of the 1950s the countries of continental Western Europe traded increasingly with one another. And they each traded above all with West Germany, on whose markets and products the European economic recovery had thus come increasingly to depend. Moreover, every post-war European state was now deeply involved in economic affairs: through planning, regulation, growth targeting and subsidies of all sorts. But the promotion of exports; the redirection of resources from old industries to new ones; the encouragement of favoured sectors like agriculture or transport: all these required cross-border cooperation. None of the West European economies was self-sufficient.

This trend towards mutually advantageous coordination was thus driven by national self-interest, not the objectives of Schuman's Coal and Steel Authority, which was irrelevant to economic policy making in these years. The same concern to protect and nourish local interests that had turned Europe's states inwards before 1939 now brought them closer together. The removal of impediments and the lessons of the recent past were perhaps the most important factors in facilitating this change. The Dutch, for example, were not altogether happy at the prospect of high EEC external tariffs that would inflate local prices, and like their Belgian neighbours they worried about the absence of the British. But they could not risk being cut off from their major trading partners.